

For markets to be in balance, these two strategies should offer the same expected return to an investor, meaning that the combined impact of one-year rates over ten years should match the rate for a ten-year bond. An inverted yield curve where short-term rates exceed long-term rates can be understood as a clear expectation that short-term interest rates will fall in the future. Since interest rate fluctuations are extremely difficult to predict, the expectations theory alone would probably leave the average yield curve relatively flat.

The other theory to determine yield curve shape is the liquidity preference theory, which suggests a need for a risk premium to be offered for longer-term bonds to account for their increased interest rate risk and price volatility, as discussed. Longer-term bonds are less liquid, as well, since this price risk could force them to be sold at a loss if an unexpected expense arose. With this risk premium added to the expectations theory, the typical or neutral shape for the yield curve becomes upward sloping (like in Exhibit 7.3).

The bond yield curve provides a reality check on retirement spending. Spending beyond what the bond yield curve can support introduces the risk that future spending will need to be cut if higher returns are not realized.